



CONFIDENTIAL OFFERING MEMORANDUM

CBRE

EXCLUSIVE REPRESENTATION

CBRE is exclusively representing the seller in the disposition of Portofino Club Luxury Apartments, a 230-unit value-add opportunity through the continuation of the existing renovation program in the dynamic Jacksonville, Florida market.

OFFERING STRUCTURE

The Property may be purchased free and clear from existing debt or as an assumption of the existing debt. To receive answers to questions, please contact the representatives listed on this Offering Memorandum. Please do not contact on-site property management.

ALL OFFERS SHOULD INCLUDE

- Proposed purchase price
- Source of funds for the acquisition
- Amount of earnest money (amount non-refundable)
- Timing for inspection period and closing
- Summary of closed transactions with references

COMMUNICATION

All communications, inquiries, tour requests and other questions should be addressed to the CBRE Team shown on this Offering Memorandum, as representatives of the Seller. Management at the Property should not be directly contacted. Seller reserves the right to remove the Property from the market. Seller expressly reserves the right, in its sole and absolute discretion, to reject any and all proposals or expressions of interest in the Property, to terminate discussions with any party, at any time, or to extend the deadline set forth in the time schedule.

PROPERTY TOURS

All tours or site visits are to be arranged exclusively through CBRE. Please do not contact the on-site staff directly or go to the Property without scheduling a visit. To schedule a tour, please contact one of the representative listed on this Offering Memorandum.

DOCUMENT CENTER | DEAL ROOM

Investors agreeing to the terms and conditions set forth in the confidentiality agreement can expect an invitation to a password protected document center containing electronic forms of the offering memorandum, operating statements, rent roll and other information that should be useful in your evaluation of the Property.

For questions regarding the document center | deal room, please contact:

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TABLE OF CONTENTS

04

EXECUTIVE SUMMARY

30

FINANCIAL ANALYSIS

38

RENT COMPARABLES

44

MARKET OVERVIEW

CONTACT INFORMATION

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PORTOFINO CLUB
LUXURY APTS

01



EXECUTIVE SUMMARY

230
Units

1986
Year Built

2021
Exterior Renovation

934 SF
Avg. Size

\$290/unit
Proven Value-Add Upside

\$1,294
Avg. Occupied Rent

\$1.40
Avg. Occupied Rent/SF





3333 Monument Road | Jacksonville, FL 32225

CBRE is pleased to offer Portofino Club Luxury Apartments, a 230-unit apartment community just minutes from Northeast Florida's pristine beaches. Built in 1986, Portofino Club Luxury Apartments presents a proven value-add opportunity. The property recently underwent a comprehensive exterior renovation but offers the majority of unit interiors as candidates for a meaningful upgrade with proven results. Recently renovated units (12% of all units) are currently achieving rents approximately \$290 higher than unrenovated units. A recent \$2.5 Million exterior renovation included new roofs on all buildings, new Hardie siding, full exterior painting, balcony screens, new property signage and exterior fencing.

Portofino Club Luxury Apartments offers a desirable mix of one and two bedroom floor plans plus six studios and is located just west of Florida's Intracoastal Waterway, in the Hidden Hills Neighborhood. Situated north of the Monument Road/McCormick Road intersection, residents benefit from walkable neighborhood retail in the immediate area including Publix, Starbucks, WaWa, Dunkin' Donuts, Ace Hardware, Walgreens, and numerous other restaurant and service related storefronts. Additionally, residents are a short 15-minute drive to the regionally dominant, high-end shopping at St. Johns Town Center with access to retailers like Apple, Coach, Lululemon, Restoration Hardware, and Nordstrom, among others. In addition to tremendous retail and leisure proximity, residents benefit from incredible connectivity to major employment centers such as in JAXPORT, Downtown Jacksonville and the Butler Corridor Office Submarket.

Portofino Club Luxury Apartments is offered as either a "free-and-clear" sale or as a sale with the assumption of the existing debt. Existing Debt terms are available within this Offering Memorandum.

With its great location, assumable debt and the proven ability to add value through a meaningful interior renovation program, Portofino Club Luxury Apartments presents a tremendous opportunity within one of Florida's most desirable markets.

INVESTMENT HIGHLIGHTS

PROVEN VALUE-ADD UPSIDE

Portofino Club Luxury Apartments represents an incredible value-add opportunity through the continuation of the existing renovation program. Currently, Premium Units are achieving a weighted average market rent increase of \$268 over Upgrade Units and \$398 over Classic Units. With 88% of the units currently classified as either Classic or Upgrade Units, there is significant runway for further improvement.

Additionally, 4 units have been renovated to the Signature finish, a best-in-class renovation that includes all the improvements in the Premium Unit plus the added luxury of quartz countertops and undermount sinks. Currently, Signature Units are achieving an in-place rent premium of \$160 over the Premium Units.

FULL EXTERIOR RENOVATION COMPLETE

The property underwent a full \$2.5 Million exterior renovation in 2020 & 2021 which included **NEW ROOFS**, all new Hardie siding, exterior painting, new screens, new building signage and new fencing among several other items – leaving interior upgrades as pure upside for potential buyers.

TOP-OF-MARKET DEMOGRAPHICS

The average household income within a 1-mile radius of the Property is \$110,507; 23% higher than the Duval County average of \$89,847.



**4.99% Assumable
Agency Debt**



**Better Collection
Story than Any Other
Northeast Florida Asset**



**Incredible Value-Add
Opportunity**



INVESTMENT HIGHLIGHTS

INCREDIBLE LOCATION

Portofino Club Luxury Apartments is located in Coastal Northeast Florida, just west of the Intracoastal Waterway, in the Hidden Hills neighborhood, one of Jacksonville's most established and sought after residential enclaves. Located just north of the Monument Road/McCormick Road intersection, residents benefit from walkable neighborhood retail in the immediate area, including Publix, Starbucks, WaWa, Dunkin' Donuts, Ace Hardware, Walgreens, and numerous other restaurant and service related storefronts. Additionally, residents are a short 15-minute drive to the regionally dominant, high-end shopping at St. Johns Town Center with access to retailers like Apple, Coach, Lululemon, Restoration Hardware, and Nordstrom, among others.

Ample opportunity for leisure activity lies just minutes from Portofino Club Luxury Apartments. Ed Austin Regional Park, a 144-acre city park with multiple baseball/softball fields, soccer fields, an 18-hole disc golf course, dog park, and a skate park, is directly across Monument Road from Portofino Club Luxury Apartments. The 18-hole Arnold Palmer signature design golf course, Hidden Hills Golf Club, is one half mile north of Portofino Club Luxury Apartments and some of the area's best beaches and outdoor activities can be found at Hanna Park, a short 15-minute drive from Portofino Club Luxury Apartments.

In addition to tremendous retail and leisure proximity, residents benefit from incredible connectivity to major employment centers such as JAXPORT, Downtown Jacksonville, and the Butler Corridor Office Submarket.



Adjacent to 144-Acre
City Park



Convenient Access to the
Area's Top Employers

VALUE-ADD FUTURE UPSIDE

CLASSIC UNITS

36%
83 Units

- Black Appliances
- 2nd Generation Cabinets and Cabinet Faces
- Carpet Flooring

PREMIUM UNITS

10%
24 Units

- Vinyl Plank Flooring
- New Cabinets
- Stainless Steel Appliances
- Tile Backsplash
- Upgraded Lighting and Plumbing Fixtures
- New Bathtubs
- Modern Vanity
- Framed Mirror



CLASSIC UNIT

UPGRADE UNITS

52%
119 Units

- Vinyl Plank Flooring in Living Areas and Wet Areas (1st floor only)
- Painted Cabinet Boxes with Upgraded Cabinet Fronts and Hardware
- Black Appliances
- Tile Backsplash
- Upgraded Lighting and Bathroom Fixtures
- New Bathtubs
- Upgraded Bathroom Vanity

SIGNATURE UNITS

2%
4 Units

- Vinyl Plank Flooring
- New Cabinets
- Stainless Steel Appliances
- Tile Backsplash
- Quartz Countertops
- Undermount Sink
- Upgraded Lighting and Plumbing Fixtures
- New Bathtubs
- Modern Vanity
- Framed Mirror



UPGRADE UNIT



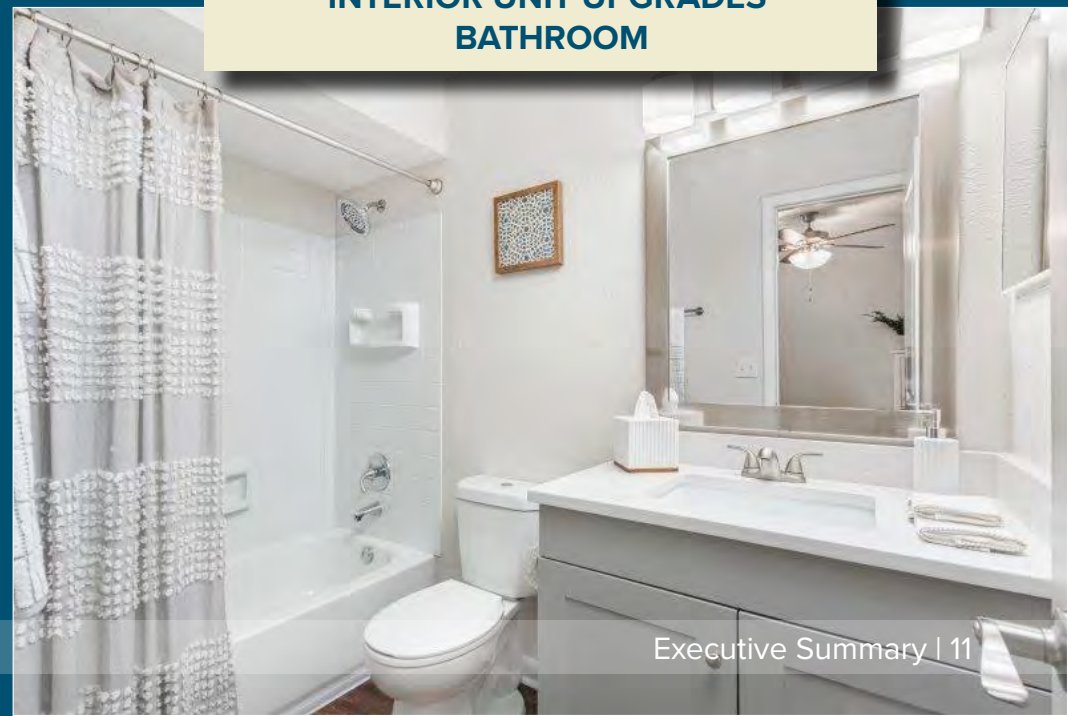
PREMIUM UNIT



INTERIOR UNIT UPGRADES KITCHEN



INTERIOR UNIT UPGRADES BATHROOM



CAPITAL IMPROVEMENTS

- ◇ New Roofs, Dimensional Asphalt Shingles & Gutters (2020)
- ◇ Full Exterior Paint with Hardie Board Siding Install (2020)
- ◇ Clubhouse/Office Upgrades
- ◇ New Screened-In Porches/Balconies
- ◇ New Outdoor Lounge Areas (3), Outdoor Grills with Countertop Dining (2), & Fire Pit (1)
- ◇ New Electric Vehicle Charging Station
- ◇ New Putting Green
- ◇ HVAC Replacements
- ◇ Parking Lot (2-Inch Asphalt Overlay/Seal & Stripe)
- ◇ New Perimeter Fencing with Publix Retail Access Gate
- ◇ New Landscaping for All Buildings
- ◇ New Monument & Property Signage
- ◇ New Mailbox & Package Locker Hubs
- ◇ Property-Wide Exterior Lighting Upgrades (Hallways, Carports, Buildings & Landscape Lighting)
- ◇ Irrigation Upgrades / Property-Wide Drainage Enhancements
- ◇ Miscellaneous Property Upgrades (Tree Trimming, Bicycle Racks, Sidewalk Repairs, New Community Benches)



Full Roof Replacement (2020)



New Grills and Dining Areas



Clubhouse/Office Upgrades



New Electric Vehicle Charging Station



New Putting Green



New Property Signage

OPERATIONAL UPSIDE

REVENUE

Multiple initiatives to increase revenues were implemented at the property during 2023, including:

PROPERTY INSURANCE PREMIUM RIDER

New and renewal leases contain a provision that allows the owner to collect an additional \$15 per month per unit if commercial property insurance premiums increase by a certain percentage in any given year. This provision enables an owner to potentially mitigate nearly \$40,000 of insurance premium risk annually.

VALET TRASH FEE

The valet trash fee charged to residents was increased by \$10 per month in July 2023 and is on track to generate additional income of \$26,000 per year (based on 95% occupancy).

VALET TRASH VENDOR

The property recently terminated a third-party valet trash vendor in favor of paying a part-time employee to collect trash five times per week from valet bins utilizing a property owned golf cart and trailer purchased for this purpose – a forecasted net savings of approximately \$10,000 per year and (already) a greatly improved service to residents.

WASTE DISPOSAL VENDOR

In April 2023, the property replaced the waste disposal company with a less expensive waste hauler – the monthly cost savings is approximately \$4,000 per month which is anticipated to result in savings of approximately \$48,000 per year.

AT&T FIBER OPTIC CONTRACT

As of September 2023, the property is negotiating an agreement with AT&T to provide high-speed fiber internet to residents. Per the contract, the property is to receive \$7 per month per unit based on resident adoption. Assuming 80% adoption at the property, this revenue share agreement is anticipated to generate over \$15,000 per year in additional

revenue. The fiber optic installation will help facilitate the implementation of “smart apartment homes” and possible additional revenue generated by the property.

PAYROLL & STAFFING

Current payroll and staffing expenses at the property are higher than market norms due to the current owner’s desire in the 2021-22 period to have bench strength and expertise to complete apartment renovations and operate the property during the pandemic; a decision to cut staff in 1Q 2023 was delayed due to a potential sale process. Similar properties in the market would anticipate this expense to be as much as \$60,000 lower than the Trailing 12 months’ expense at Portofino Club.

RENT OPTIMIZATION SOFTWARE

The property is currently **NOT** using rent optimization software to maximize rents and occupancy. There is an opportunity to truly maximize rental revenue at the property by implementing such software that is commonly deployed by institutional owners and managers.

UNIT PREMIUMS, COVERED PARKING, AND POSSIBLE GARAGE BUILDINGS

The property is currently **NOT** charging premiums for 1st floor and other desirable locations such as apartments overlooking the two ponds with fountains or being near the pedestrian gate leading to the adjacent neighborhood shopping centers. The covered parking is also available on a first-come-first-served basis, providing the opportunity to charge for reserved covered spaces at the property. Lastly, the Portofino Club parking lot may have capacity for three free-standing garage buildings to be constructed providing approximately 20 garage spaces for tenant rental.

INCREDIBLE DEMOGRAPHICS

32225 Zip Code



2023
POPULATION
56,530



COLLEGE
EDUCATED
72.4%



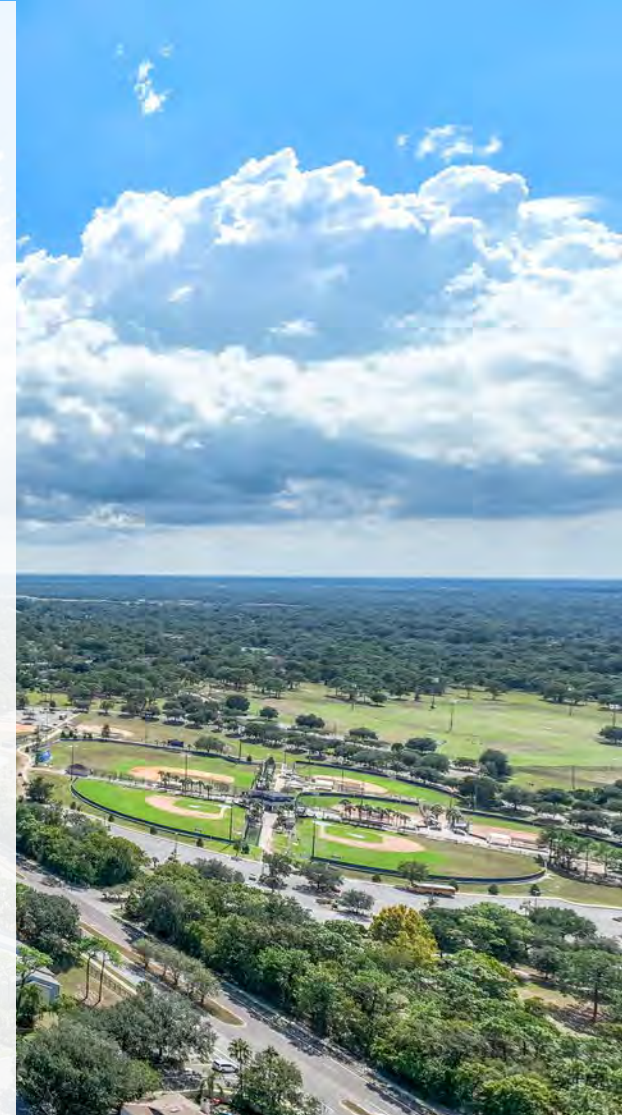
WHITE COLLAR
EMPLOYMENT
67.5%



AVG. HOUSEHOLD
INCOME (2023)
\$111,215



EXPECTED AVG.
HOUSEHOLD INCOME (2028)
\$126,501



2023 HOME SALES NEARBY

Portofino Club Luxury Apartments is
surrounded by Incredible High-End Housing

8



5019 Mariners Point Dr.
Jacksonville, FL 32225
\$1,040,000



12477 Highview Dr.
Jacksonville, FL 32225
\$844,000

4



12768 Hidden Ct.
Jacksonville, FL 32225
\$805,000

3



12750 Hidden Circle S.
Jacksonville, FL 32225
\$897,000

1



4011 Turnberry Ct.
Jacksonville, FL 32225
\$772,300

5



4029 Retford Dr.
Jacksonville, FL 32225
\$769,900

6



3765 Five Farms Ct.
Jacksonville, FL 32225
\$725,000

2

7



12820 Isleworth Dr.
Jacksonville, FL 32225
\$805,000



Fort Caroline Rd

Monument Rd

Mt Pleasant Rd

McCormick Rd

DEMAND DRIVERS



HIDDEN HILLS GOLF CLUB

Championship Arnold Palmer Signature Design 18-Hole Golf Course.



ED AUSTIN REGIONAL PARK

144-Acre Park featuring a community center, baseball & soccer fields, walking trail, picnic areas, a playground and a dog park.



KATHRYN ABBEY HANNA PARK

A 1.5 mile public beach featuring 15 miles of off-road biketrails, 300 campsites, a beachfront facility (with a playground, restrooms, grills, picnic shelters and tables), freshwater lake, shuffleboard, volleyball courts and the best surfing in Jacksonville.



ATLANTIC BEACH

The farthest north in Jacksonville's beaches community, Atlantic Beach has a rich history of being an esteemed vacation destination. Today, visitors can experience fine dining, upscale accommodations, outdoor activities and more just steps from the ocean.

Portofino Club Luxury Apartments | 16

INCREDIBLY WALKABLE



ST. JOHNS TOWN CENTER & MARKETS AT TOWN CENTER





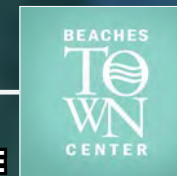
KATHRYN ABBEY
HANNA PARK
1.5 MILE PUBLIC
BEACH WITH TRAILS
AND CAMPSITES

MOUNT PLEASANT ROAD

CRAIG
AIRFIELD



ATLANTIC
BEACH



ATLANTIC BOULEVARD

NEPTUNE
BEACH

KERNAN BOULEVARD



BEACH BOULEVARD

JACKSONVILLE
BEACH



HODGES BOULEVARD

MAYO CLINIC 304-Beds
Under Expansion
adding 121-Beds

PONTE VEDRA
BEACH

J. TURNER BUTLER BOULEVARD

BEACHES TOWN CENTER

Portofino Club Luxury Apartments is a short 15-minute drive to Beaches Town Center!

Located in the heart of Neptune Beach and Atlantic Beach, Beaches Town Center is the place where Atlantic Boulevard meets the ocean. The area offers many boutiques, fitness centers, restaurants and two oceanfront hotels.

Beaches Town Center is one of the top tourist destinations in Jacksonville and locals enjoy the pedestrian friendly area while taking in the ocean breeze with beautiful courtyards and bricked walkways. It's all right here: a wealth of choices to shop, dine, relax and simply enjoy the beautiful courtyards and bricked walkways, outdoor seating and the beautiful ocean breezes.



RESTAURANTS & BARS

- 1 Al's Pizza
240 Third St
- 2 Azurea at One Ocean
One Ocean Blvd
- 3 Coop 303
303 Atlantic Blvd
- 4 Doro
106 First St
- 5 Ellen's Kitchen
241 Third St
- 6 Firehouse Subs
233 Third St
- 7 Flying Iguana Taqueria & Tequila Bar
207 Atlantic Blvd
- 8 Hawker's Asian Street Fare
241 Atlantic Blvd
- 9 Homespun Kitchen
299-2 Atlantic Blvd
- 10 Joseph's Pizza & Italian Restaurant
30 Ocean Blvd
- 11 Le Petit Paris Beach
363 Atlantic Blvd
- 12 The Local
301 Atlantic Blvd
- 13 M Shack
299 Atlantic Blvd
- 14 Mezza Luna Ristorante
110 First St
- 15 North Beach Fish Camp
100 First St
- 16 Ocean 60
60 Ocean Blvd
- 17 Poe's Tavern
363 Atlantic Blvd
- 18 Pete's Bar
117 First St
- 19 Ragtime Tavern
207 Atlantic Blvd
- 20 Sliders Seafood Grille
218 First Street
- 21 Southern Grounds
200 First St
- 22 Whit's Frozen Custard
38 Ocean Blvd

SHOPPES

- 23 AshleGrye
40 Ocean Blvd
- 24 Bali Cargo Company
200 First St
- 25 The BookMark
220 First St
- 26 Dunlop Photography
217 First St
- 27 Drift
217 First St
- 28 Fig & Willow
241 Atlantic Blvd
- 29 First Society
216 First St
- 30 Jaffi's
200 First St
- 31 Jax Surf & Paddle
241 Atlantic Blvd
- 32 Jewels by Lubeck
132 Orange St
- 33 KMH Home
200 First St
- 34 Kyds
200 First St
- 35 Milo Fashion
363 Atlantic Blvd
- 36 Peterbrooke Chocolatier
363 Atlantic Blvd
- 37 Rainbow Shades
363 Atlantic Blvd
- 38 Red Daisy
200 First St
- 39 Shorelines Gift Shop
109 First St

SHOPPES

- 40 Stubbee's Honey + Apothecary
363 Atlantic Blvd
- 41 T-Dubs
299 Atlantic Blvd

MUNICIPAL

- 42 Neptune Beach City Hall
116 First St
- 43 Neptune Beach Police Department
200 Lemon St

LODGING

- 44 One Ocean Resort & Spa
One Ocean Blvd
- 45 Seahorse Oceanfront Inn
120 Atlantic Blvd
- 46 Lemon Bar
2 Lemon St
- 47 Hotel Palms
28 Sherry Dr

HEALTH & FITNESS

- 48 Tai Chi by Cobalt Moon
214 Orange St
- 49 Dance Trance
214 Orange St
- 50 Intensity Training
60 Ocean Blvd
- 51 Jax Surf & Paddle School
222 Orange St
- 52 MBody Yoga
217 First St.

SERVICES

- 53 The Courtyard at 200 First Street
200firststreet.com
- 54 Beverly Hecht, P.A., Broker Associate
Berkshire Hathaway HomeServices FNR
375 Atlantic Blvd



NAVAL STATION MAYPORT

Home Port of 22 US Navy Ships

*Approximately 13 MINUTE DRIVE from
Portofino Club Luxury Apartments!*

Naval Station Mayport is a major employer in the area and is one of three major US Navy Installations in North Florida. It is home to a busy seaport as well as an air facility. The harbour at the naval station has 16 berths and can accommodate 34 warships including two aircraft carriers. Naval Station Mayport is the home port of 22 US Navy ships including guided-missile cruisers, guided-missile destroyers and guided-missile frigates.



EMPLOYMENT CENTERS

Near Top White-Collar Employers

BUTLER CORRIDOR/DEERWOOD PARK

- » North Florida's Largest Concentration of Class-A Office Space
- » Over 14.5 MSF of Office Space and Over 51,500 Jobs
- » Major Employers Include:
 - Deutsche Bank
 - Bank of America/Merrill Lynch
 - Blue Cross & Blue Shield
 - Citibank
 - JP Morgan Chase
 - Vistakon
 - Web.com (Global HQ)
 - SoFi
 - McKesson

DOWNTOWN JACKSONVILLE

- » Home to 3 Fortune 500 Companies' Headquarters
- » Over 14 MSF of Office Space and Over 50,000 Jobs
- » Major Employers Include
 - Fidelity National Financial (Fortune 500 Global HQ)
 - Wells Fargo
 - CSX Corp. (Fortune 500 Global HQ)
 - Fidelity National Information Services (Fortune 500 Global HQ)
 - Bank of America
 - TIAA Bank

JAXPORT

- » Jacksonville's Deep Water Shipping Terminal is approximately 9 miles from Portofino Club Luxury Apartments
- » 754-Acre, Full Service International Trade Seaport
 - One of the Largest Vehicle Import/Export Centers in the United States
 - 26,282 Port-Dependent Jobs in the Jacksonville Area



HIGHER EDUCATION CAMPUSES NEARBY

Portofino Club Luxury Apartments is less than a 20-minute drive to three of the areas higher education campuses:



50,000 STUDENTS

7.7 MILES FROM PORTOFINO CLUB LUXURY APARTMENTS

FLORIDA STATE COLLEGE AT JACKSONVILLE

Florida State College at Jacksonville has numerous campuses throughout Jacksonville, Florida. One of the main campuses, the South Campus, is located approximately 17 minutes from Portofino Club Luxury Apartments. The college was established in 1965 and was recently designated as a "state college" as it offers a greater number of four-year bachelor's degrees than the traditional two-year community colleges.



16,000 STUDENTS

8.3 MILES FROM PORTOFINO CLUB LUXURY APARTMENTS

UNIVERSITY OF NORTH FLORIDA

Located less than 17 minutes from Portofino Club Luxury Apartments The Meridian, University of North Florida opened in 1972 and is one of the major public universities in Jacksonville, Florida. UNF is organized into five colleges which offer 53 undergraduate degree programs and 28 graduate degree programs, with noted business, coastal biology, nursing, nutrition, and music programs. Most students reside off campus, though there are six areas of on-campus housing.



**JACKSONVILLE
UNIVERSITY**

4,200 STUDENTS

6.6 MILES FROM PORTOFINO CLUB LUXURY APARTMENTS

JACKSONVILLE UNIVERSITY

Jacksonville University is a private university located approximately 18 minutes from Portofino Club Luxury Apartments. The school was founded in 1934 as a two-year college and shifted to a four year university in 1956. The Division I University is home to 19 sports teams known as the JU Dolphins. The top majors at the university include aviation management, biology, nursing, business and marine science. 53% of all students live on campus in one of three residential halls and eight apartment-style housing facilities.

FLOOR PLANS

STUDIO



Studio | 452 SF
6 Units | 2.6% of Community

1 BEDROOM | 1 BATH



A1 | 650 SF
32 Units | 13.9% of Community

1 BEDROOM | 1 BATH



A2 | 755 SF
32 Units | 13.9% of Community

2 BEDROOM | 2 BATH



B1 | 1,000 SF
64 Units | 27.8% of Community

2 BEDROOM | 2 BATH



B2 | 1,075 SF
96 Units | 41.7% of Community

PROPERTY DETAILS

ASSET SUMMARY

PROPERTY NAME	PORTOFINO CLUB LUXURY APARTMENTS
Address	3333 Monument Road Jacksonville, FL 32225
County	Duval
Submarket	Arlington
Zoning	RMD-C

SITE DETAILS

Style	Garden
Year Built	1986
Year Renovated	2021
# of Units	230
# of Buildings	16 Buildings plus Clubhouse
# of Stories	Two
Avg. Unit Size	934
Residential NRA	214,872
Site Size	15.04 AC

CONSTRUCTION

Construction Type	Wood Frame with Stucco & Hardi Board Siding
Corridors	2-Story Walk-Up
Roof Type	Composition Shingles (Replaced in 2020)
Exterior Walls	Stucco
Ceiling Height	First Floor - 8' Second Floor - 8' Vaulted
Patios/Balconies	Yes
Washers/Dryers	Nearly All Units
Parking Spaces	450 - Including 214 covered spaces





TAX INFORMATION

Jurisdiction	Duval County
Parcel ID	161135-0510
2022 Milage Rate	17.0303
2022 Taxes Paid	\$410,443
2022 Ad-Valorem	\$404,530
2022 Non Ad-Valorem	\$5,913
Early Pay Discount	4%

FEE SCHEDULE

Security Deposit	\$5/month - \$80/month fee to 3rd party
Application Fee	\$50 per adult
Administrative Fee	\$100
Water/Sewer Fee	1 Bedroom - \$55/month 2 Bedroom - \$70 / month
Pest Control Fee	\$4.25/month
Pet Fee	\$300
Pet Rent	\$15/month per pet
Trash Fee	\$10/month

STAFFING INFORMATION

Full Time	2
Part Time Office	1
Maintenance Staff	2
TOTAL STAFF	5

UTILITIES

SERVICE	PROVIDER	PROVIDER PAID BY
Water/Sewer	JEA	Reimbursed by Tenant
Electricity	JEA	Resident
Trash	Meridian	Property
Underground Propane Tanks	AmeriGas	Property
Internet	AT&T and Xfinity	Resident
Phone	AT&T and Xfinity	Resident

COMMUNITY AMENITIES

- » Putting Green
- » Large pool with cabana and Wi-Fi sundeck
- » Poolside grill and lounge area
- » TV Lounge with Wi-Fi & Shuffleboard Table
- » Outdoor firepit and chairs
- » Outdoor grill and lounge areas overlooking the ponds with fountains
- » Business center
- » Fitness center
- » 24-Hour Parcel Pickup Lockers









UNIT INTERIORS

- » Large kitchens
- » Backsplash in Kitchen
- » Built-In Microwave
- » Walk-In Closets
- » In-Unit Full-Size Laundry *
- » Private Balcony or Patio
- » Extra Storage
- » Ceiling Fans in Bedrooms and Living Room
- » Upgraded lighting and hardware
- » Cozy Fireplace in Living Room*
- » Vaulted Ceilings**
- » Hardwood floors***

**In nearly all units*

***Only in upstairs apartments*

**** Only in downstairs apartments*



PORTOFINO CLUB
LUXURY APTS



02



FINANCIAL ANALYSIS

UNIT MIX



FLOORPLAN	# OF UNITS	% OF TOTAL	UNIT SIZE (SF)	AVG. MKT. RENT	MKT. RENT/SF	OCC. UNITS	AVG. OCC. RENT	OCC. RENT/SF
Studio	5	2.2%	452	\$1,073	\$2.37	5	\$994	\$2.20
Studio LG	1	0.4%	452	\$1,100	\$2.43	1	\$1,100	\$2.43
A1	6	2.6%	650	\$1,110	\$1.71	6	\$1,053	\$1.62
A1 Upgrade	26	11.3%	650	\$1,223	\$1.88	26	\$1,136	\$1.75
A2	12	5.2%	755	\$1,141	\$1.51	12	\$1,055	\$1.40
A2 Upgrade	20	8.7%	755	\$1,322	\$1.75	20	\$1,218	\$1.61
B1	20	8.7%	1000	\$1,345	\$1.34	20	\$1,200	\$1.20
B1 Upgrade	31	13.5%	1000	\$1,522	\$1.52	30	\$1,452	\$1.45
B1 Premium	12	5.2%	1000	\$1,620	\$1.62	11	\$1,557	\$1.56
B1 Signature	1	0.4%	1000	\$1,723	\$1.72	0	\$0	\$0.00
B2	40	17.4%	1,075	\$1,378	\$1.28	39	\$1,203	\$1.12
B2 Upgrade	41	17.8%	1,075	\$1,549	\$1.44	38	\$1,462	\$1.36
B2 Premium	12	5.2%	1,075	\$1,643	\$1.53	9	\$1,591	\$1.48
B2 Signature	3	1.3%	1,075	\$1,718	\$1.60	1	\$1,750	\$1.63
TOTAL/AVG.	230	97.4%	934	\$1,408	\$1.51	218	\$1,294	\$1.40

You are solely responsible for independently verifying the information in this Memorandum.
ANY RELIANCE ON IT IS SOLELY AT YOUR OWN RISK.

YEAR 1 PRO FORMA

	MONTHLY	ANNUAL	PER UNIT
INCOME			
Gross Potential Rent	\$323,809	\$3,885,708	\$16,894
Projected Market Rent increases	\$9,714	\$116,571	\$507
Value-Add Rent Increases	\$24,300	\$291,600	\$1,268
Net Market Rent	\$333,523	\$4,293,879	\$17,401
Less: Loss-to-Lease	(\$17,891)	(\$214,694)	(\$933)
Less: Vacancy Loss	(\$17,891)	(\$214,694)	(\$933)
Less: Concessions	\$0	\$0	\$0
Less: Bad Debt	(\$1,073)	(\$12,882)	(\$56)
Less: Non-Revenue Units	(\$2,147)	(\$25,763)	(\$112)
Effective Rental Income	\$294,521	\$3,825,846	\$15,366
Other Income			
Utility Income	\$14,240	\$170,882	\$743
Insurance Revenue	\$1,725	\$20,700	\$90
Trash Income	\$2,185	\$26,220	\$114
Fiber Optic Income	\$1,288	\$15,456	\$67
Other Income	\$19,510	\$234,114	\$1,018
Total Other Income	\$38,948	\$467,372	\$2,032
EFFECTIVE GROSS INCOME	\$333,468	\$4,293,219	\$17,398
EXPENSES			
Payroll and Related	\$25,875	\$310,500	\$1,350
Utilities	\$15,705	\$188,458	\$819
Repair & Maintenance	\$6,708	\$80,500	\$350
Turnover/Make-Ready	\$4,942	\$59,300	\$258
Contract Services	\$10,542	\$126,500	\$550
Administrative	\$4,019	\$48,234	\$210
Marketing & Promotion	\$2,944	\$35,325	\$154
Management Fees	\$9,839	\$118,064	\$513
Insurance	\$26,833	\$322,000	\$1,400
Real Estate Taxes*	\$34,204	\$410,443	\$1,785
TOTAL OPERATING EXPENSES	\$141,610	\$1,699,323	\$7,388
NET OPERATING INCOME	\$191,858	\$2,593,895	\$10,010
CAPITAL RESERVES			
Capital Reserves	\$4,792	\$57,500	\$250
NET OPERATING CASH FLOW (Before Debt)	\$187,066	\$2,536,395	\$9,760

* The current millage rate 17.0303. Taxes in Duval County are typically reassessed the year following closing. Buyers are encouraged to contact a tax consultant or advisor for more information regarding the tax assessment process in Duval County and make their own assumptions about future real estate tax expense.

OPERATING STATEMENT

	ACTUAL T12 ENDED AUG-23	ANNUALIZED T7 ENDED AUG-23	ANNUALIZED T3 ENDED AUG-23	YEAR 1 PRO FORMA	NOTES
INCOME					
Gross Potential Rent	\$3,758,382	\$3,810,447	\$3,881,780	\$3,885,708	Equal to Current Market Rents
Projected Market Rent Increases	\$0		\$0	\$116,571	3.00% in Year 1 (Axio forecast 4.2% 2024-2027)
Value-Add Rent Increases	\$0		\$0	\$291,600	\$270/unit increase on 90 units in Years 1 - 2
Net Market Rent	\$3,758,382	\$3,810,447	\$3,881,780	\$4,293,879	
Less: Loss-to-Lease	(\$202,549)	(\$225,935)	(\$260,719)	(\$214,694)	5.00%
Less: Vacancy Loss	(\$142,258)	(\$141,704)	(\$193,288)	(\$214,694)	5.00%
Less: Concessions	(\$2,630)	(\$309)	(\$120)	\$0	0.00%
Less: Bad Debt	(\$2,966)	(\$10,511)	(\$13,596)	(\$12,882)	0.30%
Less: Non-Revenue Units	(\$43,550)	(\$48,443)	(\$60,258)	(\$25,763)	0.60% One B1 Signature Model + Employee Units
Effective Rental Income	\$3,364,429	\$3,383,545	\$3,353,798	\$3,825,846	\$16,634 per unit
Other Income					
Utility Income	\$170,290	\$198,254	\$167,532	\$170,882	2.00% increase over T3
Insurance Revenue				\$20,700	\$180 Per unit annually on 50% on units in Year 1 and additional 45% in Year 2 (accounts for a 5% vacancy factor)
Trash Income				\$26,220	\$10 Per unit monthly increased on Valet Trash Income (95% occupancy)
Fiber Optic Income				\$15,456	\$7 Per unit monthly for fiber optic internet. Assumes an 80% market share adoption rate
Other Income	\$197,304	\$238,303	\$227,295	\$234,114	3.00% increase over T3
Total Other Income	\$367,594	\$436,558	\$394,827	\$467,372	
EFFECTIVE GROSS INCOME	\$3,732,022	\$3,820,103	\$3,748,625	\$4,293,219	\$18,666 per unit
EXPENSES					
Payroll and Related	\$372,523	\$387,754		\$310,500	\$1,350 per unit
Utilities	\$187,654	\$184,763		\$188,458	2.00% increase over T7
Repair & Maintenance	\$94,927	\$92,345		\$80,500	\$350 per unit
Turnover/Make-Ready	\$54,715	\$58,137		\$59,300	2.00% increase over T7
Contract Services	\$154,486	\$130,543		\$126,500	\$550 per unit - Contracts with Waste Management and Valet Living expired and lower costs realized in 2Q 2023
Administrative	\$50,488	\$47,288		\$48,234	2.00% increase over T7
Marketing & Promotion	\$33,931	\$34,633		\$35,325	2.00% increase over T7
Management Fees	\$98,288	\$97,255		\$118,064	2.75% of EGI
Insurance	\$144,769	\$167,556		\$322,000	\$1,400 per unit
Real Estate Taxes	\$433,126	\$413,725		\$410,443	2022 Actual Tax Bill
TOTAL OPERATING EXPENSES	\$1,624,906	\$1,613,998		\$1,699,323	\$7,388 per unit
NET OPERATING INCOME	\$2,107,117	\$2,206,105		\$2,593,895	\$11,278 per unit
CAPITAL RESERVES					
Capital Reserves				\$57,500	\$250 per unit
NET OPERATING CASH FLOW (Before Debt)	\$2,107,117	\$2,206,105		\$2,536,395	\$11,028 per unit

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CASH FLOW

FISCAL YEAR PROJECTION	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	YEAR 6	YEAR 7	YEAR 8	YEAR 9	YEAR 10
INCOME										
Gross Potential Rent	\$3,885,708	\$4,293,879	\$4,714,296	\$4,855,724	\$5,001,396	\$5,151,438	\$5,305,981	\$5,465,161	\$5,629,116	\$5,797,989
Projected Market Rent Increases	\$116,571	\$128,816	\$141,429	\$145,672	\$150,042	\$154,543	\$159,179	\$163,955	\$168,873	\$173,940
Value-Add Rent Increases	\$291,600	\$291,600	-	-	-	-	-	-	-	-
Net Market Rent	\$4,293,879	\$4,714,296	\$4,855,724	\$5,001,396	\$5,151,438	\$5,305,981	\$5,465,161	\$5,629,116	\$5,797,989	\$5,971,929
Less: Loss-to-Lease	(\$214,694)	(\$117,857)	(\$48,557)	(\$50,014)	(\$51,514)	(\$53,060)	(\$54,652)	(\$56,291)	(\$57,980)	(\$59,719)
Less: Vacancy Loss	(\$214,694)	(\$235,715)	(\$242,786)	(\$250,070)	(\$257,572)	(\$265,299)	(\$273,258)	(\$281,456)	(\$289,899)	(\$298,596)
Less: Concessions	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Less: Bad Debt	(\$12,882)	(\$14,143)	(\$14,567)	(\$15,004)	(\$15,454)	(\$15,918)	(\$16,395)	(\$16,887)	(\$17,394)	(\$17,916)
Less: Non-Revenue Units	(\$25,763)	(\$28,286)	(\$29,134)	(\$30,008)	(\$30,909)	(\$31,836)	(\$32,791)	(\$33,775)	(\$34,788)	(\$35,832)
Effective Rental Income	\$3,825,846	\$4,318,295	\$4,520,679	\$4,656,300	\$4,795,989	\$4,939,869	\$5,088,065	\$5,240,707	\$5,397,928	\$5,559,866
% increase	--	12.87%	4.69%	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%
Other Income										
Utility Income	\$170,882	\$174,300	\$177,786	\$181,342	\$184,968	\$188,668	\$192,441	\$196,290	\$200,216	\$204,220
Insurance Revenue	\$20,700	\$39,330	\$40,510	\$41,725	\$42,977	\$44,266	\$45,594	\$46,962	\$48,371	\$49,822
Trash Income	\$26,220	\$27,007	\$27,817	\$28,651	\$29,511	\$30,396	\$31,308	\$32,247	\$33,215	\$34,211
Fiber Optic Income	\$15,456	\$15,456	\$15,456	\$15,456	\$15,456	\$15,456	\$15,456	\$15,456	\$15,456	\$15,456
Other Income	\$234,114	\$241,138	\$248,372	\$255,823	\$263,498	\$271,402	\$279,545	\$287,931	\$296,569	\$305,466
Total Other Income	\$467,372	\$497,230	\$509,940	\$522,997	\$536,410	\$550,189	\$564,344	\$578,886	\$593,826	\$609,175
EFFECTIVE GROSS INCOME	\$4,293,219	\$4,815,525	\$5,030,620	\$5,179,297	\$5,332,399	\$5,490,057	\$5,652,408	\$5,819,593	\$5,991,754	\$6,169,041
% increase	--	12.17%	4.47%	2.96%	2.96%	2.96%	2.96%	2.96%	2.96%	2.96%
EXPENSES										
Payroll and Related	\$310,500	\$316,710	\$323,044	\$329,505	\$336,095	\$342,817	\$349,673	\$356,667	\$363,800	\$371,076
Utilities	\$188,458	\$192,227	\$196,072	\$199,993	\$203,993	\$208,073	\$212,234	\$216,479	\$220,809	\$225,225
Repair & Maintenance	\$80,500	\$82,110	\$83,752	\$85,427	\$87,136	\$88,879	\$90,656	\$92,469	\$94,319	\$96,205
Turnover/Make-Ready	\$59,300	\$60,486	\$61,695	\$62,929	\$64,188	\$65,472	\$66,781	\$68,117	\$69,479	\$70,869
Contract Services	\$126,500	\$129,030	\$131,611	\$134,243	\$136,928	\$139,666	\$142,460	\$145,309	\$148,215	\$151,179
Administrative	\$48,234	\$49,199	\$50,183	\$51,186	\$52,210	\$53,254	\$54,319	\$55,406	\$56,514	\$57,644
Marketing & Promotion	\$35,325	\$36,032	\$36,752	\$37,487	\$38,237	\$39,002	\$39,782	\$40,578	\$41,389	\$42,217
Management Fees	\$118,064	\$132,427	\$138,342	\$142,431	\$146,641	\$150,977	\$155,441	\$160,039	\$164,773	\$169,649
Insurance	\$322,000	\$328,440	\$335,009	\$341,709	\$348,543	\$355,514	\$362,624	\$369,877	\$377,274	\$384,820
Real Estate Taxes*	\$410,443	\$418,652	\$427,025	\$435,565	\$444,277	\$453,162	\$462,225	\$471,470	\$480,899	\$490,517
TOTAL OPERATING EXPENSES	\$1,699,323	\$1,745,312	\$1,783,485	\$1,820,476	\$1,858,248	\$1,896,815	\$1,936,197	\$1,976,409	\$2,017,471	\$2,059,401
% increase	--	2.71%	2.19%	2.07%	2.07%	2.08%	2.08%	2.08%	2.08%	2.08%
NET OPERATING INCOME	\$2,593,895	\$3,070,213	\$3,247,135	\$3,358,820	\$3,474,151	\$3,593,242	\$3,716,212	\$3,843,183	\$3,974,283	\$4,109,640
% increase	--	18.36%	5.76%	3.44%	3.43%	3.43%	3.42%	3.42%	3.41%	3.41%
TOTAL CAPITAL EXPENSE	\$57,500	\$57,500	\$57,500	\$57,500	\$57,501	\$57,502	\$57,503	\$57,504	\$57,505	\$57,506
NET OPERATING CASH FLOW (Before Debt)	\$2,536,395	\$3,012,713	\$3,189,635	\$3,301,320	\$3,416,650	\$3,535,740	\$3,658,709	\$3,785,679	\$3,916,778	\$4,052,134

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UNDERWRITING ASSUMPTIONS

INCOME

GROSS POTENTIAL RENT

Gross Potential Rent for Fiscal Year 1 (FY1) is equal to annualized average market rents as shown on the August 30, 2023 Rent Roll.

PROJECTED MARKET RENT INCREASES

Rental rates in the Jacksonville, Florida MSA increased approximately 28% in the past two years. This model assumes a 3% rent growth at the property in FY 1 and 3% annual growth every year thereafter.

LOSS-TO-LEASE

Due to rapid rent growth at the property, Loss to Lease is modeled at 5% of Net Market Rent in FY 1, 2.5% in FY2, and 1% of Net Market Rent every year thereafter.

VACANCY LOSS

Vacancy is modeled at 5% of Net Market Rent in FY1 and throughout the analysis.

RENT CONCESSIONS

The property is not offering any concessions and minimal-to-no concessions are being offered by the property's competitors.

BAD DEBT

Collections at the property have been extremely reliable. Bad debt expense at the property is estimated at 0.30% of Net Market Rent annually.

NON-REVENUE UNITS

The model anticipates a single One Bedroom "Signature" unit to be utilized as a Leasing Model Unit and a small employee discount totaling 0.60% of Net Market Rent.

UTILITY REIMBURSEMENTS

Utility Income in FY1 is modeled as a 2% increase over the Trailing 12 Months' Utility Income. Total Utility Income is anticipated to increase by 2% every year thereafter.

INSURANCE COST RECOVERY REVENUE

A rider is now attached to all new leases & renewals that enables the property owner to charge an additional \$15 per month if commercial property insurance increases by more than 10% in any given year. This model anticipates a 50% application of this revenue opportunity in FY1 and a 95% application/adaptation in FY2. This Insurance Cost Recovery Revenue is anticipated to increase by 2% every year thereafter.

VALET TRASH INCOME

The property recently increased the Valet Trash fee to residents from \$10 to \$20. FY1 reflects the additional \$10 per resident at 95% occupancy. This increased Valet Trash Income is anticipated to increase by 3% annually.

FIBER OPTIC INCOME

As of September 2023, the property is negotiating an agreement with AT&T to provide high-speed fiber internet to residents. Per the contract, the property is to receive \$7 per month per unit based on resident adoption. Assuming 80% adoption at the property, this revenue share agreement is anticipated to generate over \$15,000 per year in additional revenue. The fiber optic installation will help facilitate the implementation of "smart apartment homes" and possible additional revenue generated by the property by becoming the internet service provider.

OTHER INCOME

Other Income in FY1 is modeled as a 3% increase over the Annualized Trailing 3 Months' Other Income and is anticipated to increase by 3% every year thereafter.

EXPENSES

PAYROLL & RELATED

Payroll and Related expenses are modeled at \$1,350 per unit in FY1 are anticipated to increase by 2% annually thereafter.

UTILITY EXPENSES

Utility expenses in FY1 are modeled as a 2% increase over the Annualized Trailing 7 Months' Utility expense and are anticipated to increase by 2% annually.

REPAIR & MAINTENANCE

Repair & Maintenance expenses are modeled at \$350 per unit in FY1 are anticipated to increase by 2% annually thereafter.

TURNOVER/MAKE-READY

Turnover and Make-Ready expenses in FY1 are modeled as a 2% increase over the Annualized Trailing 7 Months' expenses and are anticipated to increase by 2% annually.

CONTRACT SERVICES

Contract Services expenses are modeled at \$550 per unit in FY1 are anticipated to increase by 2% annually thereafter. NOTE: Contracts with the previous waste disposal company and valet trash company have been replaced with more cost-effective providers, resulting in savings of approximately \$58,000 annually.

ADMINISTRATIVE & MARKETING

Administrative and Marketing expenses in FY1 are modeled as a 2% increase over the Annualized Trailing 7 Months' expenses and are anticipated to increase by 2% annually.

MANAGEMENT FEES

Management fees are anticipated to equal 2.75% of Effective Gross Income.

INSURANCE

Insurance expenses are modeled at \$1,400 per unit in FY1, increasing 2% annually. The property has not had an insurance claim in over ten years.

REAL ESTATE TAXES

Portofino Club is located in Duval County. The FY1 Tax expense in this model is equal to the actual 2022 Tax Bill which includes \$5,914 of non-Ad Valorem taxes and does not contemplate a likely reassessment after a sale, increasing by 2% annually. The current millage rate 17.0303. Taxes in Duval County are typically reassessed the year following closing. Buyers are encouraged to contact a tax consultant or advisor for more information regarding the tax assessment process in Duval County and make their own assumptions about future real estate tax expense.

CAPITAL RESERVES

Capital Reserves are modeled at \$250 per unit annually.

Assumable Debt

Portofino Club is Offered as either a free-and-clear sale or with the assumption of in-place debt.

Existing Debt Terms:

Loan Balance: \$16,685,000

Interest Rate: 4.99%

Loan Term: 12 Years

Loan Amortization: 30 Years

Interest Only Period: 6 Years (Through February 2025)

Maturity: February 2031



PORTOFINO CLUB
LUXURY APTS

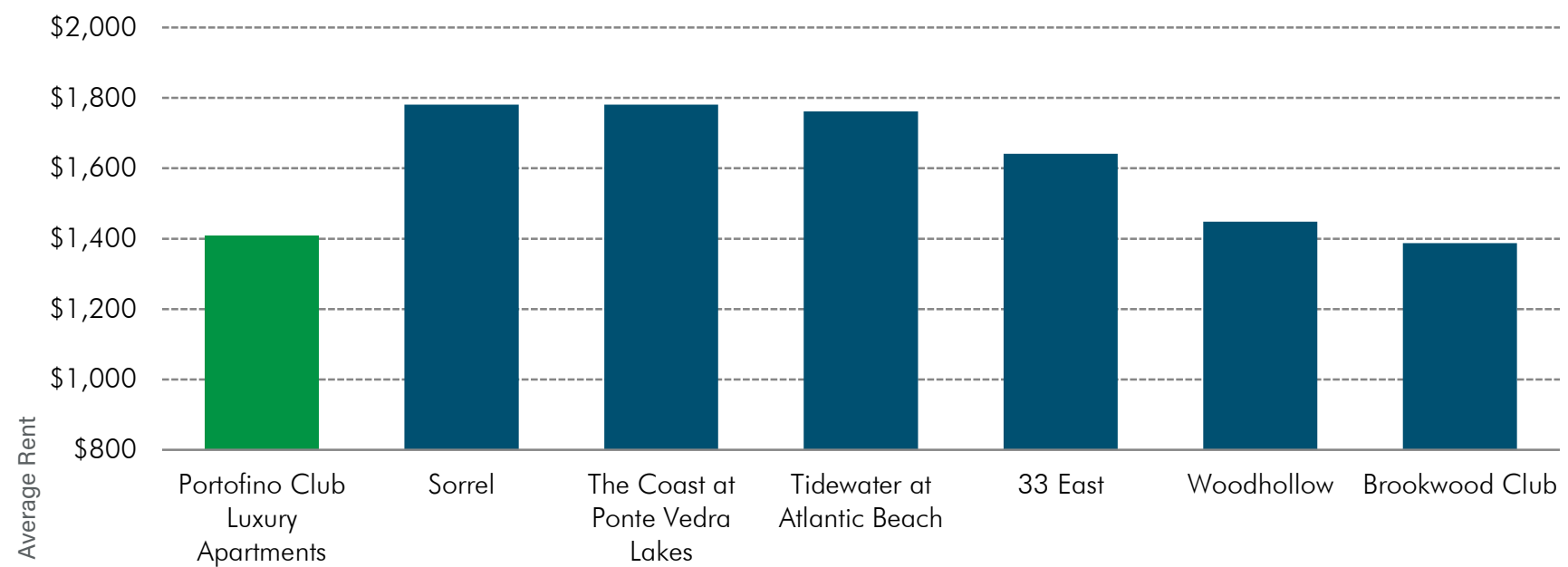


03



RENT COMPARABLES

RENT COMPARABLES



PROPERTY		ADDRESS	LOCATION	YEAR BUILT	# OF UNITS	AVG UNIT SIZE (SF)	AVERAGE RENT
S	PORTOFINO CLUB LUXURY APARTMENTS	3333 MONUMENT ROAD	JACKSONVILLE	1986/2021	230	934	\$1,408
1	Sorrel	12001 Abess Boulevard	Jacksonville	2015	290	1,048	\$1,781
2	The Coast at Ponte Vedra Lakes	611 Ponte Vedra Lakes Boulevard	Ponte Vedra	1986	344	881	\$1,781
3	Tidewater at Atlantic Beach	2768 State Road A1A	Atlantic Beach	1986	120	777	\$1,762
4	33 East	2610 State Road A1A North	Jacksonville	1986	216	837	\$1,641
5	Woodhollow	1715 Hodges Boulevard	Jacksonville	1986	450	843	\$1,448
6	Brookwood Club	1385 Brookwood Forest Boulevard	Jacksonville	1985	360	799	\$1,387
AVERAGE (Less Subject Properties)							\$1,633

RENT COMPARABLES

SORREL

12001 Abess Boulevard, Jacksonville, FL 32225
290 Units | Year Built: 2015

ASPIRATIONAL COMP

01



UNIT TYPE	# OF UNITS	UNIT SIZE (SF)	AVG MKT. RENT	MKT. RENT/SF
1 Bedroom 1 Bath	63	661	\$1,467	\$2.22
1 Bedroom 1 Bath	30	815	\$1,574	\$1.93
1 Bedroom 1 Bath Den	24	983	\$1,636	\$1.66
2 Bedroom 1.75 Bath	78	1,097	\$1,751	\$1.60
2 Bedroom 1.75 Bath	39	1,218	\$1,974	\$1.62
2 Bedroom 1.75 Bath	15	1,355	\$2,039	\$1.50
3 Bedroom 1.75 Bath	32	1,515	\$2,199	\$1.45
3 Bedroom 1.75 Bath	9	1,375	\$2,560	\$1.86
TOTAL/AVG.	290	1,048	\$1,781	\$1.70

THE COAST AT PONTE VEDRA LAKES

611 Ponte Vedra Lakes Boulevard, Ponte Vedra Beach, FL 32082
344 Units | Year Built: 1986

02



UNIT TYPE	# OF UNITS	UNIT SIZE (SF)	AVG MKT. RENT	MKT. RENT/SF
1 Bedroom 1 Bath	64	683	\$1,713	\$2.51
1 Bedroom 1 Bath	72	755	\$1,756	\$2.33
2 Bedroom 1 Bath	64	886	\$1,851	\$2.09
2 Bedroom 2 Bath	72	977	\$1,684	\$1.72
2 Bedroom 2 Bath	48	1,043	\$1,872	\$1.79
2 Bedroom 2 Bath	24	1,155	\$1,959	\$1.70
TOTAL/AVG.	344	881	\$1,781	\$2.02

RENT COMPARABLES

TIDEWATER AT ATLANTIC BEACH

2768 State Road A1A, Atlantic Beach, FL 32233
120 Units | Year Built: 1986



03

UNIT TYPE	# OF UNITS	UNIT SIZE (SF)	AVG MKT. RENT	MKT. RENT/SF
1 Bedroom 1 Bath	56	660	\$1,641	\$2.49
2 Bedroom 2 Bath	64	880	\$1,867	\$2.12
TOTAL/AVG.	120	777	\$1,762	\$2.27

33 EAST

2610 State Road A1A North, Jacksonville, FL 32233
216 Units | Year Built: 1986



04

UNIT TYPE	# OF UNITS	UNIT SIZE (SF)	AVG MKT. RENT	MKT. RENT/SF
1 Bedroom 1 Bath	40	578	\$1,362	\$2.37
2 Bedroom 1 Bath	62	844	\$1,606	\$1.90
2 Bedroom 2 Bath	78	868	\$1,687	\$1.94
3 Bedroom 2 Bath	36	1,045	\$1,903	\$1.82
TOTAL/AVG.	216	837	\$1,641	\$1.96

RENT COMPARABLES

WOODHOLLOW

1715 Hodges Boulevard, Jacksonville, FL 32224
450 Units | Year Built: 1986



05

UNIT TYPE	# OF UNITS	UNIT SIZE (SF)	AVG MKT. RENT	MKT. RENT/SF
1 Bedroom 1 Bath Alcove	64	600	\$1,346	\$2.24
1 Bedroom 1 Bath	96	700	\$1,374	\$1.96
1 Bedroom 1 Bath	82	800	\$1,389	\$1.74
2 Bedroom 1 Bath	48	960	\$1,489	\$1.55
2 Bedroom 1.5 Bath	64	980	\$1,505	\$1.54
2 Bedroom 2 Bath	64	1,000	\$1,542	\$1.54
3 Bedroom 2 Bath	32	1,100	\$1,659	\$1.51
TOTAL/AVG.	450	843	\$1,448	\$1.72

BROOKWOOD CLUB

1385 Brookwood Forest Boulevard, Jacksonville, FL 32225
360 Units | Year Built: 1985



06

UNIT TYPE	# OF UNITS	UNIT SIZE (SF)	AVG MKT. RENT	MKT. RENT/SF
1 Bedroom 1 Bath	80	678	\$1,335	\$1.97
1 Bedroom 1 Bath	120	691	\$1,242	\$1.80
2 Bedroom 1 Bath	40	842	\$1,450	\$1.72
2 Bedroom 2 Bath	120	972	\$1,547	\$1.59
TOTAL/AVG.	360	799	\$1,387	\$1.74



PORTOFINO CLUB
LUXURY APTS



04

MARKET OVERVIEW



Why Jacksonville MSA?

Jacksonville is among the Fastest Growing Housing Markets in 2023!

National Association of Realtors | December 2022

Jacksonville is the fastest growing city in Florida!

Jacksonville is distinguished by a growing population, strong economy, diverse culture and recreational opportunities and abundant natural resources making it one of the nation's most dynamic cities. At 874 square miles, Jacksonville is the largest city by land area in the continental U.S. By population, Jacksonville is the 12th largest U.S. city and the Jacksonville MSA has a population of more than 1.65 million across five counties in Northeast Florida.

Regional collaboration is strong and the economic base is diverse. Top industries include advanced manufacturing, transportation and logistics, financial services, IT and innovation, and health and biomedical. Florida's favorable tax environment benefits both businesses and individuals with no corporate franchise tax, state personal income tax, inventory tax, or foreign income tax. Locally, Jacksonville's consolidated government means a streamlined permitting process. Businesses also enjoy low operating costs, strong broadband infrastructure, and a highly skilled, low-cost workforce.

1.65M

Million in the
Jacksonville MSA
Population

4

Fortune 500
Companies
Located in
Downtown
Jacksonville

20+

Colleges &
Universities

15%

Lower
Construction Cost
than the U.S.
Average

80+

Industry
Headquarters

26.5 Mins

Average Commute
Time
(Significantly less than
any other major city)

Jacksonville Accolades

A **Top City** for New Residents in 2022

~North American Moving Services
January 2023

6th Hottest Housing Market
in 2023

~Zillow
January 2023

1 of 5
Supernova Cities

~Urban Land Institute
November 2022

Top 5 Cities
where Millennials
are Moving

~SmartAsset
November 2022

#3 Overall Best City
for Retired Veterans

~Navy Federal
November 2022

8th Best Real Estate Market

~Rocket Mortgage
September 2022

14th Fastest
Growing Metro

~US News & World Report
August 2022

Top 5 Best
Job Markets

~The Wall Street Journal
April 2022

Top 20 Large
Metros for
Employment Growth

~US Bureau of Labor Statistics
June 2022

Jacksonville Highlights

- As “America’s logistics center,” Jacksonville serves as a **gateway to Florida** and a **major distribution point** for goods being transported throughout the eastern seaboard and to the Midwest. Serviced by **three major rail networks and three interstates**, Jacksonville sits at the crossroads of the Southeast’s rail and highway network. The deep-water port is the number one container port complex in Florida and one of the nation’s top vehicle handling ports. In addition, Jacksonville International Airport offers more than 85 nonstop flights and connections to every major city in the world.
- The region boasts one of the **lowest overall costs of living** and some of the **most affordable housing prices in the Sunshine State**. Home to top-rated K-12 schools and excellent colleges and universities, the region cultivates a wealth of young, experienced talent. Residents enjoy big-city arts and entertainment amenities, a hearty dose of Southern charm, and plenty of outdoor recreation options, including ninety miles of shoreline and the largest urban park system in the nation. Jacksonville is distinguished by a growing population, strong economy, diverse culture and recreational opportunities and abundant natural resources making it **one of the nation’s most dynamic cities**.
- The Jacksonville region has a wealth of young, experienced talent with a broad range of financial services expertise, including banking, investments, insurance, mortgage and IT. The region boasts a lower than average commute time, low cost of living, year-round sunshine and beach access – all perks professionals look for when choosing where to relocate.



270

Days of Sunshine



Top Rated

K-12 Schools



85+

Non-Stop Flights



12th

Largest U.S City



No

Corporate Franchise Tax
State Personal Income Tax
Inventory Tax
Foreign Income Tax

Economic Highlights

Diverse economic base that is expanding at a rapid pace!

- The area's economy is balanced among distribution, financial services, biomedical technology, consumer goods, information services, manufacturing, and other industries.
- Jacksonville is a major center for import-export operations, having been selected for the site of Southeast Toyota, the largest distributor in the United States, as well as a distribution center for General Motors Corp.
- Bloomberg reports that over 19,000 employees of the world's top Wall Street Firms - such as Bank of America, Citigroup, JP Morgan Chase and Wells Fargo - have a presence in Jacksonville. Deutsche Bank, in particular, has its second-largest U.S. location in Jacksonville with around 2,000 employees.

#5 Hottest Job Market!

The region has profited during the pandemic from its position as a logistics hub with a seaport, two major interstate highways and rail and air connections, said Albert Loh, professor of economics at the University of North Florida. It has also attracted jobs in healthcare, technology and financial services—***“relatively high paying jobs and those kind of jobs have a very strong multiplier effect,”*** Dr. Albert Loh, professor of economics at the University of North Florida said, which helps add employment across the local economy. Data company Dun & Bradstreet Inc. said last year it would move its headquarters to Jacksonville from New Jersey.

Jacksonville is Home to Multiple Military Facilities

4 Military Bases

- Naval Air Station Jacksonville
- Naval Submarine Base Kings Bay
- Naval Station Mayport
- Florida Air National Guard

These military bases provide a continued supply of workers to the highly skilled, educated labor force in Jacksonville.



Fortune 500 Headquarters



FIDELITY NATIONAL
Information Services

FIDELITY
National Financial



Other Major Employers in the Jacksonville MSA



Naval Presence



Naval Air Station Jacksonville

Naval Air Station Jacksonville is the largest Navy base in the Southeast Region, the third largest in the nation and the fastest growing installation employing nearly 20,000. NAS Jax supports U.S. and allied forces specializing in anti-submarine warfare and training of the best aviators in the world.

Naval Station Mayport

Naval Station Mayport is home to a busy seaport and air facility. With its ease of access to inland waterways and the open ocean, it has resulted in an important military base, making it the third largest fleet concentration. The base employs 9,000 and is one of the top employers in Jacksonville.

Naval Submarine Base Kings Bay

Naval Submarine Base Kings Bay is located in nearby Kingsland, Georgia employing 9,000. It is the home port for U.S. Navy Fleet ballistic missile nuclear submarines armed with Trident missile nuclear weapons. The submarine base covers about 16,000 acres.

America's Logistics Center

Jacksonville boasts a strong intermodal system with fast access to major markets throughout the U.S. via railroads: CSX (headquartered in Jacksonville), Norfolk Southern and Florida East Coast Railway and multiple interstates including I-10, I-75 and I-95.



Jacksonville International Airport (JAX)

A new \$300 million concourse at Jacksonville International Airport will start in October 2022 with completion expected in July 2025. Upgrades will start with the existing traveler checkpoint area and then continue in phases with a new six gate concourse.

1500+ Non-Stop Flights/Monthly
4.2M Passengers in 2021
\$300M In Infrastructure Improvements



Jacksonville Port Authority (JAXPORT)

JAXPORT is a premier diversified port with connections to major trade lanes throughout the world handling container, automobile, bulk, breakbulk and refrigerated cargoes.

\$1.4M Port Volume
±75K Cruise Passengers
3 Public Marine Terminals



Cecil Commerce Center

Cecil Commerce Center is a 4,475-acre, master-planned business park and major employment hub that is home to over 4,500 jobs from employers such as Bridgestone/Firestone, Amazon, Wayfair and FedEx among others.

4,475 Acres
4,500 Jobs

Exponential Growth in Florida



+2.8M NEW RESIDENTS



+1.48M NEW JOBS



+40M ANNUAL VISITORS



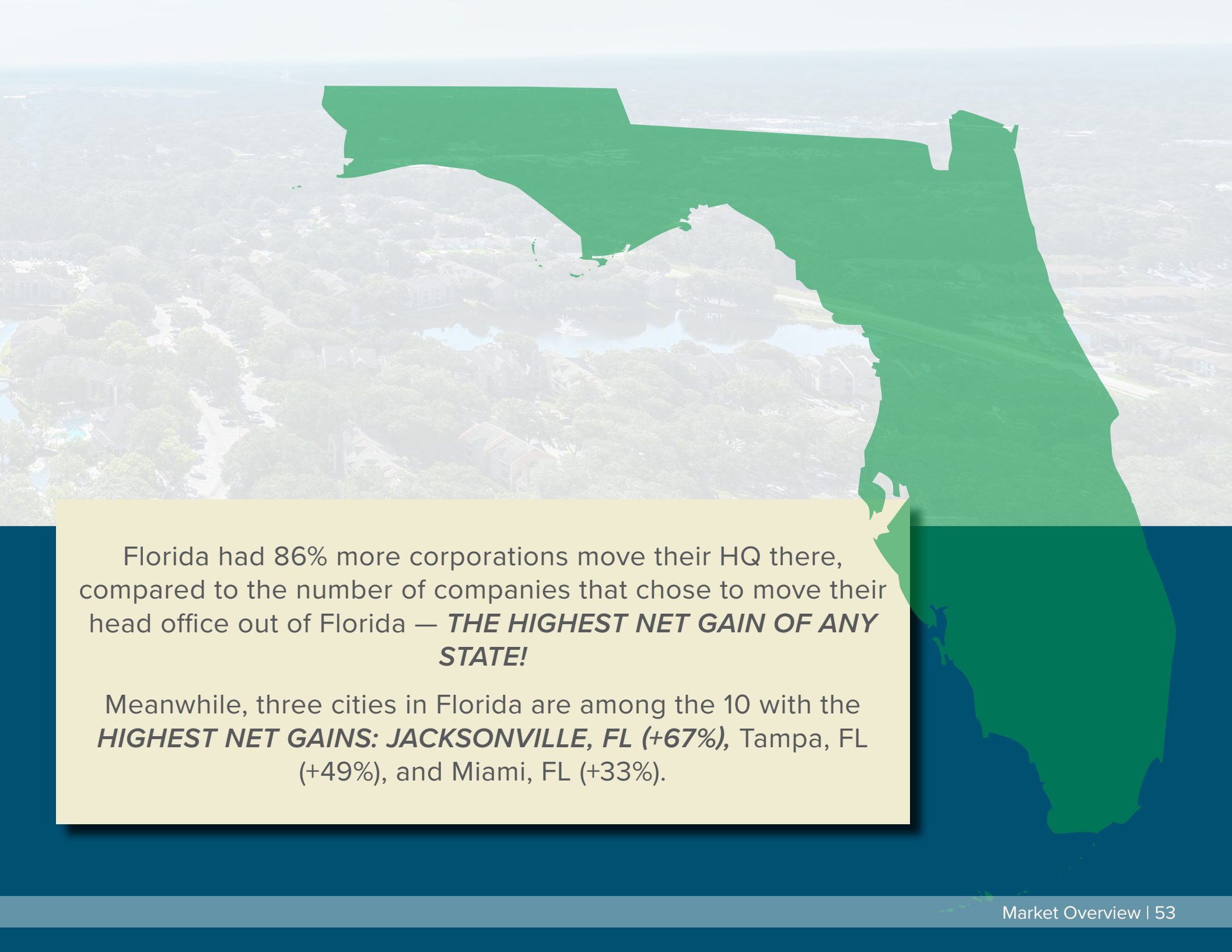
#1 GROWTH STATE OF 2022



\$23.7B INCOME MIGRATION

Florida Chamber Foundation 2023 Forecast

- » 2023 will be another year of strong job growth – 250,000+ NEW JOBS IN 2023
- » Population growth will remain strong – approximately 350,000 NEW RESIDENTS
- » Workforce availability and participation rate will continue to remain a concern – UNEMPLOYMENT RATE WILL CONTINUE TO BE BELOW NATIONAL AVERAGE
- » STRONGER GDP GROWTH for Florida's economy
- » Transactions of single-family homes will return to pre-pandemic levels, but without much erosion in prices – APPROXIMATELY 80,000-85,000 SINGLE FAMILY HOUSING STARTS
- » FLORIDA IS THE TOP STATE FOR INCOME MIGRATION with \$23.7B, more than 3.5x the amount of Texas, the #2 State, at \$6.3B.

An aerial photograph of a suburban neighborhood with many houses, trees, and a small pond. A green outline of the state of Florida is overlaid on the right side of the image, partially obscuring the background. The outline is solid green and matches the color of the text in the slide.

Florida had 86% more corporations move their HQ there, compared to the number of companies that chose to move their head office out of Florida — ***THE HIGHEST NET GAIN OF ANY STATE!***

Meanwhile, three cities in Florida are among the 10 with the ***HIGHEST NET GAINS: JACKSONVILLE, FL (+67%),*** Tampa, FL (+49%), and Miami, FL (+33%).

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Your receipt of this Memorandum constitutes your acknowledgement that (i) it is a confidential Memorandum solely for your limited use and benefit in determining whether you desire to express further interest in the acquisition of the Property, (ii) you will hold it in the strictest confidence, (iii) you will not disclose it or its contents to any third party without the prior written authorization of the owner of the Property (“Owner”) or CBRE, Inc. (“CBRE”), and (iv) you will not use any part of this Memorandum in any manner detrimental to the Owner or CBRE.

If after reviewing this Memorandum, you have no further interest in purchasing the Property, kindly return it to CBRE.

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This Memorandum contains select information pertaining to the Property and the Owner and does not purport to be all-inclusive or contain all or part of the information which prospective investors may require to evaluate a purchase of the Property. The information contained in this Memorandum has been obtained from sources believed to be reliable, but has not been verified for accuracy, completeness, or fitness for any particular purpose. All information is presented “as is” without representation or warranty of any kind. Such information includes estimates based on forward-looking assumptions relating to the general economy, market conditions, competition and other factors which are subject to uncertainty and may not represent the current or future performance of the Property. All references to acreages, square footages, and other measurements are approximations. This Memorandum describes certain documents, including leases and other materials, in summary form. These summaries may not be complete nor accurate descriptions of the full agreements referenced. Additional information and an opportunity to inspect the Property may be made available to qualified prospective purchasers. You are advised to independently verify the accuracy and completeness of all summaries and information contained herein, to consult with independent legal and financial advisors, and carefully investigate the economics of this transaction and Property’s suitability for your needs.

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